Investprop

ASSET-INTO-SPV DEVELOPMENT, RENOVATION OR FLIP PARTNERSHIP

LEGAL AGREEMENT — FILL-IN TEMPLATE

Property / Land Contribution & Development Partnership Agreement

The owner contributes their property or land into a ring-fenced company (SPV) in exchange for equity; the developer funds, develops, renovates or flips, and delivers everything.

Agreement Reference	**[LP-YYYY-####]**
Date of preparation	**[Date]**
The Landowner	**[Full name / entity name]**
The Developer / Platform	Investprop (Pty) Ltd (Reg. No. **[____]**)
Landowner equity in SPV	**20**%
Developer & co-investors	**80**%

How to use this template. Replace every **[highlighted placeholder]** and every blank line with the relevant detail. The percentages default to 20% landowner / 80% developer. This document is generated automatically, pre-filled, from the application when a submission is approved — this template is for offline / manual use and for legal review.

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Parties

1. The Landowner

[Full name] (Identity No.) — or, if a company/trust — **[Entity name]** (Registration No.), herein represented by .
Physical address:
Email: Telephone:
(hereinafter "the Landowner")

2. The Developer / Platform

Investprop (Pty) Ltd (Registration No.)
Registered address:
(hereinafter "the Developer" or "the Platform")

3. The SPV (to be incorporated)

A private company (ring-fenced special purpose vehicle) to be incorporated for the Project, into which the Property will be contributed (hereinafter "the SPV").

The Landowner and the Developer are referred to jointly as "the Parties" and individually as "a Party".

Recitals (Background)

1. The Landowner is the registered owner of (or is entitled to become the registered owner of) the immovable property described below and in Annexure A (the "Property").
2. The Landowner wishes to realise the development, renovation or flip value of the Property — whether vacant land to be developed or an existing building to be renovated or flipped — but lacks the capital, expertise, professional team and funding relationships required to do so, and wishes to avoid the risk and cost of doing it alone.
3. The Developer operates a property development and co-investment platform that aggregates investor capital, appoints the professional team, secures funding and manages development and disposal end-to-end.
4. The Parties wish to combine the Property (contributed by the Landowner) with the capital, skill and funding arranged by the Developer, by contributing the Property into the SPV in exchange for shares.
5. The Landowner acknowledges that the Developer will incur substantial time, cost and risk (feasibility, rezoning, design, funding and marketing) in reliance on this Agreement, and that the protections in favour of the Developer are a material inducement without which the Developer would not proceed.

The Property

The "Property" means the immovable property described below, including the land and all buildings and improvements on it, whether vacant land for development or an existing building for renovation or flip.

Item	Detail
Description	**[Short description of the property or land]**
Physical address	**[Address, City, Province]**
Erf / Portion No.	
Title Deed No.	
Extent	m²
Current zoning	
Current use	
Municipal value	R

Estimated land value	R
Bond status / outstanding / bank	
Rates status / arrears	
Co-owners / other registered holders	

Further particulars of the Property appear in Annexure A.

The Project

Item	Detail
Intended strategy	**[Develop / Renovate / Flip / Hold]**
Development / renovation type	
Proposed units / scope	
Estimated gross development value (GDV)	R
Estimated development / build / renovation cost	R

(collectively, "the Project")

1. Definitions

1. **"Development Costs"** means all costs incurred in relation to the Project, including feasibility, town-planning, rezoning, surveying, professional fees, holding costs, funding costs, construction, marketing and disposal.
2. **"Development Spend"** means all amounts expended and time/effort reasonably valued that the Developer commits to the Project from the Effective Date.
3. **"Effective Date"** means the date of last signature of this Agreement.
4. **"Enhancement"** means any increase in the value of the Property arising from the Developer's efforts, including rezoning, consent use, subdivision, services, approvals, design, renovation or marketing.
5. **"Exclusivity Period"** means the period defined in Clause 3.
6. **"Shares"** means the ordinary shares in the SPV.

2. Exclusive, Irrevocable Undertaking to Contribute & Development Mandate

1. The Landowner hereby irrevocably undertakes to contribute the Property into the SPV, and grants the Developer an exclusive, irrevocable mandate to develop, renovate or flip the Property through the SPV, on the terms of this Agreement.

2. This undertaking and mandate are coupled with an interest (the Developer's Development Spend and the rights granted herein) and are accordingly **irrevocable** and may not be withdrawn, cancelled or frustrated by the Landowner for the duration of the Exclusivity Period.

3. The Developer may call for the contribution of the Property into the SPV by written notice, whereupon the Landowner shall do all things necessary to give effect to the contribution.

4. The Developer is under no obligation to proceed with the Project and may elect not to do so, in which event the Developer's liability is limited to amounts (if any) expressly agreed in writing.

3. Exclusivity Period & Lock-Out

1. The Exclusivity Period commences on the Effective Date and endures for months, renewable at the Developer's election for a further months while the Project is being progressed.

2. During the Exclusivity Period the Landowner shall **not**, whether directly or indirectly: (a) sell, donate, exchange, option, lease, encumber, subdivide, rezone or otherwise deal with the Property; (b) negotiate with, solicit or entertain any offer from any third party in respect of the Property or any similar transaction; or (c) grant any right that competes with or derogates from the rights granted to the Developer.

3. This lock-out is a material term. Any dealing in breach of it is void as against the Developer and entitles the Developer to the remedies in Clauses 10, 11 and 12.

4. Registration of the Developer's Interest Against Title

1. The Landowner irrevocably consents to the Developer registering, noting or endorsing its interest under this Agreement against the title of the Property at the Deeds Office, including by way of a registered lease, notarial deed, caveat-style restriction or restrictive condition against transfer, encumbrance or further dealing without the Developer's written consent.

2. The Landowner shall sign all documents and give all powers required to effect such registration, failing which the power of attorney in Clause 6 shall apply.

3. The Landowner warrants that it will not procure the removal of any such endorsement during the currency of this Agreement.

5. Development Rights & Decision Authority

1. The Landowner appoints the Developer as the sole and exclusive developer, project manager and disposal agent for the Property and the Project.

2. The Developer has full authority to conduct feasibility studies, appoint the professional team, apply for rezoning / consent use / subdivision / township establishment, procure funding, undertake and manage construction, and market and dispose of the completed development, all in its discretion and in the best interests of the Project.

3. The Landowner shall not interfere with, obstruct or second-guess the Developer's conduct of the Project and shall provide all cooperation, information and signatures reasonably required.

6. Irrevocable Power of Attorney (Coupled With an Interest)

1. The Landowner irrevocably nominates, constitutes and appoints the Developer (and its nominee) as its lawful attorney and agent, *in rem suam*, to do everything necessary to give effect to this Agreement, including to: sign and submit rezoning, subdivision, township, building-plan and municipal applications; deal with the local authority and service providers; sign the documents to register the Developer's interest against title; and sign the documents to transfer / contribute the Property into the SPV.

2. This power of attorney is coupled with an interest, is **irrevocable**, and shall not lapse on the insolvency, death, incapacity or change of control of the Landowner.

7. Contribution of the Property into the SPV & Equity Split

1. Upon the Developer proceeding with the Project, the Property shall be contributed / transferred into the SPV as the Landowner's equity contribution.

2. In consideration for contributing the Property, the Landowner shall receive and hold **20**% of the issued Shares in the SPV.

3. The Developer (and/or the investor pool and co-investors it introduces) shall hold the remaining **80**% of the Shares, representing the capital, funding, skill and execution contributed to the Project.

4. The Landowner's Shares may be subject to dilution only on the same basis as all other shareholders and strictly in accordance with the SPV's Memorandum of Incorporation and Shareholders' Agreement.

5. The Landowner contributes **only** the Property. The Landowner is not required to contribute cash, nor to fund Development Costs, and shall not be called upon for further capital.

6. The Property shall be held within the ring-fenced SPV, legally separate from the assets and liabilities of any other project.

8. The Developer's Obligations (We Do Everything)

1. The Developer shall, at the risk of the Project and (save as provided herein) at no cost to the Landowner: arrange and manage all feasibility, town-planning and rezoning; appoint and manage the professional team and contractors; raise the development funding and investor capital; manage construction and delivery; and market and dispose of the completed units / development.

2. The Developer shall account to the SPV and the Landowner for the Project through the Platform, including transparent reporting of the cap table, capital movements and distributions.

9. Landowner Warranties & Obligations

1. The Landowner warrants that: (a) it is the sole registered owner of the Property (or will be, and has disclosed all co-owners); (b) it has full authority to conclude this Agreement; (c) the Property is not subject to any undisclosed lease, claim, servitude, dispute, land claim, expropriation or encumbrance; (d) all rates, taxes and levies are as disclosed; and (e) all information supplied is true and complete.
2. The Landowner shall: keep the Property's rates and charges current (save where the SPV assumes them); not encumber or further burden the Property; promptly sign all documents requested; and cooperate fully and in good faith to advance the Project.
3. The Landowner indemnifies the Developer and the SPV against any loss arising from a breach of these warranties.

10. Protection of the Developer's Spend — Break Fee & Reimbursement

1. If the Landowner (a) withdraws, repudiates, cancels or purports to cancel this Agreement; (b) breaches the lock-out in Clause 3; (c) sells, encumbers or deals with the Property in breach hereof; (d) fails or refuses to sign documents or contribute the Property when required; or (e) otherwise frustrates or prevents the Project, then the Landowner shall immediately pay to the Developer:

1. the full amount of the Developer's Development Spend (all costs, fees, disbursements and the reasonable value of time and effort incurred to date); **plus**
2. a break fee / penalty equal to (being % of the Development Spend or the enhanced value, as elected by the Developer); **plus**
3. any Enhancement value realised under Clause 11.

2. These amounts constitute a liquidated, pre-agreed debt owing by the Landowner to the Developer, recoverable on demand, and are secured as set out in Clause 12.
3. The Parties agree these amounts are a genuine pre-estimate of the Developer's loss and are fair and reasonable in the circumstances.

11. Enhancement / Uplift Capture

1. Any Enhancement in the value of the Property resulting from the Developer's efforts (including rezoning, consent use, subdivision, services, approvals or design) belongs to the Project and shall not accrue to the Landowner outside this Agreement.
2. If the partnership terminates through the Landowner's default or withdrawal after any Enhancement has been created, the Developer is entitled to be paid the full value of

that Enhancement, in addition to the amounts in Clause 10, as a debt secured against the Property.

3. The value of the Enhancement shall be determined by an independent valuer appointed by the Developer, acting as expert and not arbitrator.

12. Security for the Developer’ s Claims

1. As continuing security for all amounts that may become owing to the Developer under Clauses 10 and 11, the Landowner hereby: (a) cedes and pledges its rights, title and interest in and to the Property (and its Shares in the SPV) to the Developer; and (b) consents to the registration of a mortgage bond / notarial bond over the Property in favour of the Developer to secure such amounts, and undertakes to sign all documents required.

2. The Developer may exercise its rights under this security on demand following an unremedied default, including by perfecting the bond and recovering the secured amounts from the Property.

13. Restriction on Disposal & Non-Circumvention

1. The Landowner shall not sell, transfer or dispose of the Property, its Shares, or any interest therein, otherwise than in accordance with this Agreement and the SPV’s Shareholders’ Agreement.

2. The Landowner shall not circumvent the Developer by dealing directly with any investor, funder, professional, contractor or purchaser introduced by the Developer, nor use the Developer’s feasibility, designs, approvals or relationships outside the Project. This restriction endures for months after termination.

14. Distributions & Proceeds

1. Net proceeds and distributions of the SPV shall be applied in the order set out in the Shareholders’ Agreement, broadly: first to repay funding and Development Costs; then to return capital to the capital-contributing shareholders; and thereafter to shareholders pro rata to their shareholding (Landowner **20**% / Developer and co-investors **80**%).

2. The Landowner’s return is derived from its shareholding in the SPV and is not a guaranteed amount; it depends on the Project outcome.

15. Conditions Precedent

1. The contribution of the Property into the SPV is subject to: (a) satisfactory due diligence and title verification; (b) the Developer securing the required funding and/or investor commitments; and (c) any municipal / regulatory consents the Developer considers necessary. The Developer may waive any condition in its favour.

16. Default & Remedies (Specific Performance)

1. On any breach by the Landowner, the Developer may, without prejudice to its other rights: (a) claim specific performance, including compelling signature and contribution of the Property; (b) enforce the lock-out and registered restriction; (c) recover the amounts in Clauses 10 and 11; and/or (d) perfect its security under Clause 12. The Landowner acknowledges that damages alone are an inadequate remedy for the Developer and consents to interdictory and specific-performance relief.

17. Drag-Along, Tag-Along & Deadlock

1. The Landowner shall be bound by customary drag-along provisions in the Shareholders' Agreement, such that on a sale of the Project approved by the majority, the Landowner shall sell its Shares on the same terms, and tag-along protection shall apply in its favour.
2. Deadlock shall be resolved in accordance with the Shareholders' Agreement, failing which by the dispute mechanism in Clause 19.

18. Confidentiality & POPIA

1. Each Party shall keep confidential the terms of this Agreement and all information disclosed, and shall use it only for the Project.
2. The Landowner consents, in terms of the Protection of Personal Information Act 4 of 2013, to the processing of its personal information by the Developer and the SPV for the purposes of the Project, including due diligence, funding, registration and regulatory compliance.

19. Dispute Resolution

1. Any dispute shall be referred to confidential arbitration under the rules of the Arbitration Foundation of Southern Africa (AFSA) by a single arbitrator, save that either Party may approach a court of competent jurisdiction for urgent or interdictory relief.

20. General

1. Governing law: the laws of the Republic of South Africa.
2. Whole agreement: this Agreement (with its annexures) constitutes the entire agreement; no variation is valid unless in writing and signed by both Parties. No indulgence constitutes a waiver.
3. Severability: if any provision is unenforceable, the remainder shall continue in force.
4. Electronic signature: the Parties agree, in terms of the Electronic Communications and Transactions Act 25 of 2002, that this Agreement may be concluded and signed electronically, and that an electronic signature (including acceptance recorded on the Platform with name, date, time and IP address) shall be valid and binding. Where registration in the Deeds Office requires an original wet-ink signature or notarial execution, the Landowner shall provide it on request.

5. Costs of this Agreement and of giving effect to it (including conveyancing and registration) shall be borne by the Project / SPV unless otherwise agreed.

6. This Agreement is subject to, and shall be supplemented and implemented through, the SPV's Memorandum of Incorporation and a Shareholders' Agreement, which the Landowner agrees to sign.

7. **Important:** This document is a binding commercial agreement. The Landowner confirms that it has had the opportunity to obtain independent legal advice before signing.

Signatures

Signed by the LANDOWNER:

Name: **[Full name]**
ID / Reg No:

_____ _____
Signature Date & Place

_____ _____
Witness 1 Witness 2

Signed by the DEVELOPER / PLATFORM:

For and on behalf of Investprop (Pty) Ltd

Name:
Capacity: Director (duly authorised)

_____ _____
Signature Date

Annexure A — Property particulars & title · Annexure B — Project feasibility / concept (if available) · Annexure C — SPV Memorandum of Incorporation (on incorporation) · Annexure D — Shareholders' Agreement (on incorporation)